

ACCOUNTANCY: TOP 10 MUST-MASTER BOARD QUESTIONS

Selected based on exhaustive analysis of 2024-2026 Paper Series

Q1. Accounting for Share Capital (Pro-rata)

6 Marks

Concept: Oversubscription & Forfeiture Entries

Mayank Ltd. invited applications for issuing 70,000 equity shares of ₹ 100 each. Applications for 1,00,000 shares were received. Pro-rata allotment was made to all applicants. **Jay, a shareholder who had applied for 1,000 shares**, failed to pay the allotment money and his shares were forfeited. Later, **Meenakshi**, a holder of 1,400 shares, failed to pay the first call and her shares were also forfeited. Pass necessary journal entries.

Q2. Cash Flow Statement

6 Marks

Concept: Operating Activities & Adjustments

From the following information, calculate '**Cash Flows From Operating Activities**': Surplus i.e. Balance in Statement of Profit and Loss ₹ 6,28,000; Provision for Tax ₹ 1,50,000; Depreciation ₹ 1,40,000; Loss on Sale of Machinery ₹ 30,000; Trade Receivables increased by ₹ 40,000 and Trade Payables decreased by ₹ 20,000.

Q3. Partnership: Death of a Partner

4-6 Marks

Concept: Executor's Account & Profit Share

Hans, Sohan and Kishore were partners. On 1st August, 2024, Kishore died. The partnership deed provided for calculation of his share in profits till the date of death on the basis of **average profit of the previous four years**. (Profits: Year 1: ₹ 80,000; Year 2: ₹ 50,000; Year 3: ₹ 40,000; Year 4: ₹ 30,000). Prepare Kishore's capital account to be presented to his executors.

Q4. Accounting for Debentures

4 Marks

Concept: Issue with Redemption Terms

Pass necessary journal entries for the issue of debentures:

- (i) Issued 500, 9% Debentures of ₹ 100 each at **10% discount**, redeemable at a **premium of 10%** after 5 years.
- (ii) Issued 400, 9% Debentures of ₹ 100 each at 5% discount, redeemable at par.

Q5. Dissolution of Partnership

4 Marks

Concept: Realisation Journal Entries

Jain and Gupta were partners. The firm was dissolved. Pass journal entries for:

- (i) Debtors ₹ 80,000 were taken over by a collection agency at 10% discount.
- (ii) Creditors of ₹ 40,000 were taken over by Jain.
- (iii) Realisation expenses of ₹ 5,000 were paid by Gupta on behalf of the firm.

Q6. Share Forfeiture (Short Calculation)

1 Mark

Concept: Amount debited to Share Capital

X Ltd. forfeited 100 shares of ₹ 100 each for non-payment of allotment money of ₹ 15 (incl. premium ₹ 5). The first and final call of ₹ 50 per share was **not yet made**. The amount that was debited to share capital account at the time of forfeiture was: (a) ₹ 10,000 (b) ₹ 5,000 (c) ₹ 4,500 (d) ₹ 3,500.

Q7. Partnership: Admission

6 Marks

Concept: Capital Adjustment based on New Partner

Shubhi and Revanshi admitted Pari as a new partner. Pari brought ₹ 50,000 as capital for 1/4th share. **Capitals of Shubhi and Revanshi are to be adjusted** on the basis of Pari's Capital by opening current accounts. Prepare Partners' Capital Accounts.

Q8. Comparative Statement

3 Marks

Concept: Comparative Profit & Loss

Prepare a **Comparative Statement of Profit and Loss** of X Ltd. from the following: Revenue from Operations (2023: ₹ 20L, 2024: ₹ 30L); Cost of Mat. Consumed (2023: ₹ 12L, 2024: ₹ 21L); Tax Rate 50%.

Q9. Accounting Ratios

3-4 Marks

Concept: Interest Coverage & Debt-Equity

Calculate from the books of Gama Ltd: (i) Debt Equity Ratio (ii) Interest Coverage Ratio.

Data: 12% Debentures: ₹ 5,00,000; Shareholder's Funds: ₹ 2,50,000; Net Profit after tax: ₹ 2,10,000; Tax Rate: 30%.

Q10. Partnership Fundamentals (Past Adjustments)

3 Marks

Concept: Error Rectification Entry

Manoj and Nitin are partners. After closing the books, it was found that **Interest on Capital @ 10% p.a. was omitted** and Interest on Drawings (Manoj: ₹ 2,000, Nitin: ₹ 4,000) was not charged. Pass a single necessary adjustment journal entry.